Budget Planning and Cost Center Policy

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Summary. Policy for annual budget planning, cost-centre structure, quarterly reforecasting, budget transfers and unbudgeted spend at Northstar Systems, with the planning calendar, cost-centre code formats, approval thresholds and worked examples.

SYNTHETIC DOCUMENT - Northstar Systems is a fictional company. This document exists for development, testing and demonstration only and is not real legal, employment, security or compliance advice.

1. Purpose and Scope

This policy sets out how Northstar Systems Private Limited plans, approves, monitors and adjusts its budgets, and how cost centres are structured and used. It applies to all departments: Human Resources (People Team), Engineering, IT/Security, Operations/Procurement with Finance, and Customer Success with Support. The Chief Financial Officer owns the policy, and budget owners, department heads, Directors, Finance Controller and the Finance team use it.

The aim is to make sure that spending is planned against agreed priorities, that every rupee is booked to the right cost centre, and that changes during the year are approved by the right people. The policy covers operating expense (opex), capital expenditure (capex), headcount cost and revenue-linked cost. It does not describe how individual purchases are approved, which is the Delegation of Authority in OPS-001, nor invoice payment, which is in OPS-009 (draft) and the approved purchase procedures.

Northstar's fiscal year runs from 1 April to 31 March.

2. Definitions

- **Budget owner**: the manager, Director or department head accountable for a cost centre's budget.
- **Cost centre**: a unit in the finance system to which costs are booked, identified by a code.
- **Opex**: recurring operating costs such as salaries, subscriptions, travel and services.
- **Capex**: a single item above INR 1,00,000 with a useful life of over 1 year.
- **Baseline budget**: the approved budget for the fiscal year.
- **Reforecast**: a quarterly update of expected full-year spend based on actuals.
- **Unbudgeted spend**: spend that is not covered by the approved budget of the relevant cost centre and line.
- **Budget transfer**: a reallocation of approved budget from one cost centre or line to another.

3. Roles and Responsibilities

Role	Responsibility
CFO	Owns the policy, approves the annual budget with the CEO, approves unbudgeted spend and large transfers
Finance Controller	Runs the planning calendar, maintains cost-centre codes, reviews reforecasts, monitors variance
Department head	Prepares and defends the department budget, owns spending against it
Budget owner	Manages a cost centre, forecasts spend, raises transfer requests
Chief People Officer	Confirms headcount plan with Finance
Procurement Desk	Checks that purchase requisitions refer to a valid cost centre
Finance Desk	Responds to queries through finance@northstar-systems.example

4. Cost-Centre Structure

4.1 Code format

Cost-centre codes follow the pattern CC-<department>-<three digits>. The prefixes are:

Code pattern	Department
CC-ENG-###	Engineering
CC-HR-###	Human Resources (People Team)
CC-SEC-###	IT/Security
CC-OPS-###	Operations/Procurement and Finance
CC-CS-###	Customer Success and Support

Example: CC-ENG-014 could be the Platform Engineering team and CC-CS-003 the Support Operations team. Codes are numbered by the Finance Controller and never reused after closure.

4.2 Rules for creating and closing cost centres

A department head requests a new cost centre through the Finance Desk with a purpose, owner and expected annual budget. The Finance Controller creates it within 5 business days if it fits the structure. New cost centres in the middle of a fiscal year are allowed only for new teams or projects that are approved in the headcount plan or the budget. A cost centre is closed when its team is merged or dissolved. Closure needs a clearance of open commitments, POs and accruals before it takes effect.

Every purchase requisition, expense claim and corporate card transaction must carry a valid cost-centre code. Wrong codes are corrected by the budget owner before month-end close. Finance does not charge costs to a cost centre without the budget owner's knowledge.

5. Annual Budget Planning Calendar

Date	Milestone
1 November	Budget planning starts; Finance issues templates, guidance and company priorities
15 January	Department submissions due
28 February	Annual budget approved

Date	Milestone
1 April	New fiscal year starts; approved budgets loaded

5.1 Planning steps

1 On 1 November the Finance Controller releases planning templates, assumptions such as the salary revision percentage, inflation, currency rates, and the headcount plan guidance.
2 In November and December, each department head meets Finance to review last year's actuals, the current year's forecast and strategic initiatives.
3 Each department prepares a draft with headcount, opex by line, capex requests, and expected revenue impact. A budget owner must justify any request above the previous year's level by more than 10%.
4 Submissions are due by 15 January. Late submissions may be placed at the end of the review queue and may be held at the previous year's level until reviewed.
5 Finance consolidates, challenges assumptions and prepares a company view in January and February. The CFO and CEO review with department heads.
6 The annual budget is approved by 28 February so that departments can plan their April start and make hiring and purchasing decisions.
7 After approval, Finance communicates budgets to budget owners and loads them into the system before 1 April.

5.2 Headcount and hiring

Headcount cost is budgeted as part of the department budget. A hiring requisition must be approved by the department head and Finance, in line with HR-004. A position that is not in the approved headcount plan counts as unbudgeted and goes through section 8. Offers above Band B5 need CEO approval, in addition to budget availability.

Salary revisions take effect on 1 May of each year, subject to approved budget. The planning guidance includes a provision for these revisions. Variable pay is paid with the June payroll for the prior fiscal year, so Finance accrues it during the year.

5.3 Capex planning

Capex requests need a business case, a total cost including installation and support, an expected useful life and a view on alternatives. Items such as the 48-month laptop refresh are budgeted by IT and Finance as a rolling programme. Capex above INR 10,00,000 needs the CFO and CEO jointly at the time of purchase, as with all purchases in the Delegation of Authority.

6. Spending Against Budget

Budget owners must ensure that spending stays within the approved budget for their cost centre and line. A purchase requisition in NorthBuy checks the available balance, and a requisition that exceeds the available budget is flagged for Finance review. Approval under the Delegation of Authority is still needed. A budget being available does not remove the need for quotations, a PO or approval.

Budget owners must review their month-end reports in the first week of each month, explain variances above 10% and INR 50,000, and tell Finance about any commitments likely to cause an overspend. Recurring commitments such as subscriptions are booked across the term of the contract, and budget owners are responsible for making sure the whole contract year value is

covered, including renewals under OPS-005.

Employees must not split a purchase to avoid a threshold. Finance reviews the pattern of small requisitions to the same vendor and cost centre each quarter.

7. Quarterly Reforecast

Finance runs a reforecast at the end of each quarter, namely June, September, December and March for the next year's opening view. Budget owners update expected spend for the rest of the year using actuals, known commitments and any changes in business plans. Finance consolidates, compares with the baseline budget and reports to the CFO.

The reforecast does not change the approved baseline. It shows expected variance and is used to decide on transfers, spend freezes or releases. If a department forecasts an overspend of more than 5% of its approved budget, the department head must present a recovery plan to the CFO within 10 business days. If a department forecasts an underspend, Finance may release unused budget to other departments through a transfer approved by the CFO.

8. Unbudgeted Spend

Unbudgeted spend is spend that does not have budget in the relevant cost centre and line. Unbudgeted spend above INR 1,00,000 needs CFO approval in addition to the approver required under the Delegation of Authority. For lower amounts, the department head may approve use of savings from the same cost centre, as long as the spend is within the total budget for the cost centre and the Finance Controller agrees.

The requester must explain why the spend was not planned, what it will deliver, and where the funds will come from, which may be a transfer, a saving or a request for additional budget. The CFO may reject the request, ask for deferral to the next quarter or approve it with a condition.

Example: Customer Success needs a INR 1,80,000 analytics tool that was not budgeted. The DoA approver for this amount is the Director and Finance Controller, but because the amount is above INR 1,00,000 and unbudgeted, the CFO must also approve. The Director of Customer Success identifies a transfer from an unused training line in the same cost centre to cover the cost.

Example: Operations needs an unbudgeted INR 60,000 courier contract. The amount is below INR 1,00,000, so the CFO's additional approval is not required, but the Director and Finance Controller approve under the DoA and the budget owner confirms savings in the cost centre.

9. Budget Transfers

A budget transfer moves approved budget between cost centres or between major lines in the same cost centre. Rules:

- Transfers up to INR 1,00,000 may be approved by the Finance Controller after the department heads concerned agree.
- A budget transfer between cost centres above INR 1,00,000 needs CFO approval.
- Transfers between opex and capex lines are treated as transfers between cost centres for approval purposes because they change accounting treatment, so they follow the same thresholds.
- Transfers that increase headcount cost need the confirmation of the Chief People Officer and are approved by the CFO regardless of the amount.

- Repeated small transfers to the same destination within a quarter are added together for approval, to prevent splitting.

A transfer request is raised by the budget owner through the Finance Desk. It states the source, destination, amount, period and reason. Finance records the transfer, updates budgets in the system and confirms to both owners within 3 business days.

Example: Engineering CC-ENG-007 wants to move INR 2,50,000 from its training line to the cloud tools line of CC-ENG-012. The amount is above INR 1,00,000 and the transfer moves budget between cost centres, so the CFO must approve it.

10. Month-End and Year-End Close

Finance closes the books monthly. Budget owners must make sure that all invoices, goods receipts and accruals for the month are submitted by the dates communicated by Finance, and expense claims are filed in NorthPay on time. At the year end on 31 March, budget owners confirm open POs and accruals by the first week of April. Budgets do not carry forward automatically. Unused budget lapses at year end unless the CFO approves a carry-forward for a committed project.

Wellness allowance claims are due by 31 March, and budget owners should remind teams of this deadline so that claims fall in the right year.

11. Cost Allocation and Shared Costs

Shared costs such as office rent, common software and security tools are allocated to departments using headcount or usage as agreed by the Finance Controller. Allocation rules are published each year with the budget. A department that disagrees with an allocation raises it in the planning process and not during the year.

Corporate card and petty cash spending are booked to the cardholder's cost centre. The policy for these is in OPS-010. Travel costs are booked to the cost centre of the traveller, unless the trip is for a project with its own cost centre.

12. Controls and Reporting

Finance reviews variances each month and reports to the CFO. The Finance Controller prepares a quarterly report to leadership containing actual versus budget by department, reforecast, unbudgeted approvals and transfers. Internal audit reviews budget controls annually. Findings rated high are remediated within 60 days.

Budget owners who repeatedly overspend without approval, book costs to wrong cost centres or avoid thresholds may be reviewed under the disciplinary process of HR.

13. Exceptions and Escalation

Exceptions to the planning calendar, such as an extension for a department that is reorganising, need the Finance Controller's written approval and are limited to 10 business days. Exceptions to thresholds can only be approved by the CFO. Disputes between departments about allocations are escalated to the CFO. Questions can be sent to the Finance Desk.

14. Frequently Asked Questions and Worked Cases

When does budget planning start and when must my submission be in? Planning starts on 1 November. Department submissions are due on 15 January, and the annual budget is approved by 28 February, ahead of the new fiscal year starting 1 April.

Can I spend savings from one line on another line in my own cost centre? For amounts within the total approved budget of the cost centre, the department head may agree to reuse savings if the Finance Controller confirms. A move between cost centres above INR 1,00,000 needs the CFO.

A new project starts in August and has no budget. What should the department do? Raise an unbudgeted spend request with the business case. If the total is above INR 1,00,000, the CFO approves it in addition to the DoA approver. The department should also ask for a new cost centre code if the project needs separate tracking, and the Finance Controller will allocate one in the correct department series.

What happens to unused budget on 31 March? It lapses. Only the CFO can approve a carry-forward, and only for a committed project with a signed contract or PO.

Example, capex planning: IT plans to replace 60 laptops in the next fiscal year at INR 85,000 each, a total of INR 51,00,000. IT includes the programme in its January submission under the CC-SEC series. At purchase time the order exceeds INR 25,00,000, so Procurement Committee review and CFO sign-off apply, and the order is above INR 10,00,000, so the CFO and CEO approve jointly.

Example, reforecast: At the September reforecast, Engineering expects to spend INR 4,20,00,000 against an approved budget of INR 4,00,00,000, which is an overspend of 5%. The overspend is not above 5% of the budget, so a formal recovery plan is not required, but the department head explains the variance to the CFO. If the forecast had been INR 4,30,00,000, the recovery plan would be due within 10 business days.

15. Related Documents

The Delegation of Authority and quotation rules are in OPS-001. Hiring requisitions and headcount approvals are in HR-004. Corporate card and petty cash rules are in OPS-010. Contract renewals that affect future budgets are in OPS-005, and hardware refresh funding is part of OPS-007.

16. Revision History

Version	Date	Change
3.0	2024-11-15	Aligned planning calendar to 1 November start
3.1	2025-05-21	Added transfer rules and quarterly reforecast detail